



Revision Class # 02

CAF-01 AUTUMN 2025 QUESTION PAPER

Name: _____
RISE ID: _____

20th July, 2025
3 hours – 100 marks
Additional reading time – 15 minutes

Financial Accounting and Reporting-I

Instructions to examinees:

- (i) Answer all **NINE** questions.
- (ii) Answer in **black pen** only.
- (iii) Multiple Choice Questions must be answered in answer script only.

Section A

Question # 01:

Marco Establishment (ME) decided to construct a tunnel that will link two sides of the village that were separated by a natural disaster years ago. Realizing its role as a good corporate citizen, the ME has been in this village for a couple of years exploring oil and gas in the nearby offshore area. The tunnel would take two years to build. It began construction on January 1, 2016. The following payments were made during 2016:

Dates	Rs.
January 31	200,000
March 31	450,000
June 30	100,000
October 31	200,000
November 30	250,000

The first payment on January 31 was funded from the entity's pool of debt. However, the entity succeeded in raising a medium-term loan for an amount of Rs. 800,000 on March 31, 2016, with simple interest of 9% per year calculated and payable quarterly in arrears. These funds were specifically used for this construction. Excess funds were temporarily invested at 6 percent per year. The construction project was temporarily halted for six weeks in May, June, when substantial technical and administrative work was carried out which was necessary stoppage for the completion of construction work.

The following amounts of debt were outstanding at the year-end December 31, 2016:

	Rs.
Medium-term loan (see description above)	800,000
Bank overdraft (The weighted average amount outstanding during the year was Rs. 750,000, and interest charged thereon by the bank amounted to Rs. 33,800.)	1,200,000
A 10%, 7-year general loan taken on October 1, 2009, repayable in full in December, 2017	9,000,000

Required:

Calculate the amount of borrowing cost to be capitalized to the cost price of the Tunnel in for the year ended 31st December, 2016?

(10)

Question # 02:

On July 1, 2016, Rangbaaz Limited (RL) received a grant of Rs. 5 million from Government of Punjab towards the purchase of power plant in Hasilpur. The plant was purchased for Rs. 20 million. Further Rs. 2 million were incurred on installation. The installation was completed on December 31, 2016 and plant was available for use. The plant has an estimated life of 10 years and will be depreciated on Cost basis. One of the terms of grant is to provide 50% jobs to local workers for at least four years otherwise it would trigger repayment of grant on a sliding scale as follows:

Conditions violated at any time during year	Amount of repayment
30.06.17	100%
30.06.18	95%
30.06.19	90%
30.06.20	40%

Initially 50% of the workers were hired from local areas but due to certain reasons, this condition was breached in 2019 and 90% of the grant was repaid on June 30, 2019.

Required: Pass journal entries for the years ending June 30, 2017, 2018 and 2019 if grant is deducted from carrying amount of plant. (08)

Question # 03:

You have recently joined as the finance manager of Corv Limited (CL). While reviewing the draft financial statements for the year ended 31 December 2020 prepared by the junior accountant, you have noted the following

- (i) CL acquired a three-story building on 1 March 2020. CL uses the ground floor for its marketing department while remaining two floors were in excess of CL's need and therefore were rented out. The first floor was rented out on 1 June 2020 and the second floor was rented out on 1 December 2020.

The accountant has recorded the building as property, plant and equipment. The depreciation on ground, first and second floors has been computed from 1 March 2020, 1 June 2020 and 1 December 2020 respectively. (04)

- (ii) CL is constructing a power generation plant for its factory. The project started on 1 February 2020 and would complete on 30 November 2021. The work remained suspended for 3 months. The project is financed through long term loan, acquired specifically on 1 January 2020. The unutilised amount of loan is kept in a separate saving account. The accountant has deducted income of separate saving account from full year's interest on loan and presented the net amount as finance cost in the statement of profit or loss. (04)

The accounting policy of CL is to carry land and building at fair value (wherever permitted by IFRS).

Required: Discuss how the above issues should be dealt in the financial statements of CL for the year ended 31 December 2020 in accordance with the requirements of IFRSs.

Question # 04:

Rumi Limited receives the following government grants in July 1, 2018:

- (i) Grant of Rs. 400,000 to acquire a water cleaning station. The cost of the station was Rs. 900,000 and its useful life is 8 years. Rumi acquired the station on July 1, 2018 and recognized depreciation on a straight-line monthly basis.
- (ii) Grant of Rs. 600,000 to cover the expenses for ecological measures during 2019 – 2023. Rumi spent Rs. 200,000 in 2019, assumes to spend Rs. 200,000 in 2020 – 2022 and Rs. 160,000 in 2023 (i.e., Rs. 960,000 in total).
- (iii) Grant of Rs. 130,000 to cover the expenses for ecological measures made by Rumi in 2017 – 2018.

Required:

Prepare extracts of SOCI and SOFP for 2019 showing government grant as separate deferred income. (06)

Question # 05:

Charsi Limited (CL) received three grants from Government during the year ended December, 31, 2021 with the following detail:

- (i) On 1st December, 2021 a grant of Rs. 1,000,000 received from Krypton Government. The grant was in respect of relocation costs that CL has incurred moving its manufacturing facilities from Krypton to New York. The grant is repayable in full unless CL recruits 100 employees locally by the end of December, 2021. CL is facing problems to recruit such number of employees because local skill base does not match with the requirement of CL.
- (ii) On 1st May 2021, CL bought a machine for Rs. 3.5 million. A grant of Rs. 1 million was received from Government in respect of this acquisition. The machine has a residual value of Rs. 200,000, is depreciated on a straight-line basis over its useful life of 5 years. CL treats grant as deferred income and recognize as income over the useful life of the machine.
- (iii) On 1st February, 2021 CL received a grant of Rs. 500,000 from Local Government as compensation of electricity bills for the year ended 31st December, 2020 under COVID – 19 business sustainability relief.

Required:

Show how the above transactions should be reflected in the statement of profit & loss and statement of financial position of Charsi Limited (CL) for the year ended December 31, 2021 in accordance with the requirements of IAS – 20 Government Grants. **(08)**

Question # 06:

Select the most appropriate answer(s) for each of the following Multiple-Choice Questions.

- (i) The forgivable loan from government is accounted for as if there is no reasonable assurance that the entity will meet the terms for forgiveness of loan.

(a) a liability	(b) an income	
(c) government assistance	(d) a government grant	(01)
- (ii) On 1 January 2019, a company purchased an asset for Rs. 5 million against which it received the government grant of Rs. 0.5 million. The company deducted the grant from the cost of asset. It is the policy of the company to depreciate such assets using straight line method over ten years. On 1 January 2021, the government grant became repayable due to non-fulfilment of conditions. Repayment of grant will result in increasing:

(a) carrying value by Rs. 0.5 million	(b) carrying value by Rs. 0.4 million	
(c) expense by Rs. 0.4 million	(d) expense by Rs. 0.5 million	(02)
- (iii) As per IAS 20 'Accounting for Government Grants and Disclosure of Government Assistance', presenting the whole grant as other income in the statement of comprehensive income or deducting it from a related expense, is the correct treatment of:

(a) grant related to income	(b) forgivable loan expected to be received in next year	
(c) government assistance in the form of free technical advice	(d) grant related to assets	(01)
- (iv) Which of the following is NOT considered government assistance in accordance with IAS 20?

(a) Forgivable loans by government	(b) Subsidized loans by government	
(c) Government grants	(d) Imposition of trading constraints on competitors	(01)

- (v) Which of the following can **NOT** be a 'qualifying asset' under IAS 23 Borrowing Costs?
- (a) Inventories (b) Manufacturing plants
(c) Assets that are ready for their intended use when acquired
(d) Investment property (01)
- (vi) Capitalisation of borrowing costs should be suspended:
- (a) when substantially all the activities necessary to prepare a qualifying asset for its intended use or sale are complete
(b) during a temporary delay which is a necessary part of the process of getting an asset ready for its intended use or sale
(c) during extended periods in which active development of a qualifying asset is interrupted
(d) all of the above (01)
- (vii) Which of the following statements is correct in the context of capitalisation of borrowing costs?
- (a) If funds have been arranged from various general borrowings, the amount to be capitalised is based on the weighted average cost of borrowings
(b) Capitalisation always commences as soon as expenditure for the asset is incurred
(c) Capitalisation always continues until the asset is brought into use
(d) Capitalisation always commences as soon as borrowing costs are incurred (01)
- (viii) On 1 January 2021, a company borrowed Rs. 20 million @ 9% per annum for the purpose of constructing an asset. The company started construction on 1 February 2021 and paid Rs. 8 million on 1 March 2021 and Rs. 12 million on 1 July 2021. The asset was ready to use on 1 September 2021. Surplus funds were invested @ 6% per annum. The borrowing cost that can be capitalized is:
- (a) Rs. 660,000 (b) Rs. 710,000
(c) Rs. 900,000 (d) Rs. 1,050,000 (02)

Additional Mcqz

- (i) On 1 January 2021, Delta Limited (DL) acquired a manufacturing plant at a cost of Rs. 200 million and received a government grant of Rs. 40 million related to the plant. DL recorded the grant as deferred income. The plant is being depreciated on a straight- line basis over five years. The accounting period ends on 31 December each year. On 1 January 2023, the grant was repaid in full on failing to meet the attached conditions. Profit or loss will be debited on the repayment of the grant by:
- (a) Nil (b) Rs. 16 million
(c) Rs. 24 million (d) Rs. 40 million (02)
- (ii) Which of the following statements are correct?
- (I) Investment income on the temporary investment of unused funds of general borrowings is taken to profit or loss.
(II) Capitalisation of borrowing cost always commences as soon as construction of a qualifying asset begins.
- (a) Only (I) is correct (b) Only (II) is correct
(c) Both are correct (d) None is correct (01)
- (iii) Sigma Limited (SL) borrowed Rs. 10 million from a bank on 1 July 2023 at an interest rate of 15% to purchase a delivery truck. SL paid Rs. 6 million immediately to the supplier as an advance. On 1 May 2024, SL paid an additional Rs. 2 million upon the delivery of the truck. The remaining Rs. 2 million was paid to the supplier on 30 June 2024. SL invested the surplus funds from the loan in a saving account at 13% per annum. The amount of borrowing cost that can be capitalised in the cost of truck amounts to:
- (a) Rs. 1,030,000 (b) Rs. 820,000
(c) Rs. 950,000 (d) Nil (02)

Section B**Question # 07:**

On January 1, 2021, Ahmad Limited started the construction of its new factory. The construction period is approximately 15 months and the cost is estimated at Rs. 80 million. The work has been divided into 5 phases and payment to contractor shall be made on completion of each phase.

In the year the company had the following sources of finance available.

- (i) Rights issue of shares amounting to Rs. 15 million on January 1, 2021. The company usually pays a dividend of 10% each year.
- (ii) Bank loan of Rs. 32 million carrying a mark-up of 13% was raised on March 1, 2021. (This loan was outstanding for 306 days in the year).
- (iii) On August 1, 2021, Rs. 10 million were borrowed from the bank. Interest thereon, is payable at the rate of 11%. (This loan was outstanding for 153 days in the year).

Investment income on temporary investment of the borrowings amounted to Rs. 0.5 million. The details of bills submitted by the contractor, during the year are as follows:

Particulars	Date of payment	Rupees
On completion of 1st phase	March 1, 2021	20,000,000
On completion of 2nd phase	April 1, 2021	18,000,000
On completion of 3rd phase	October 1, 2021	16,000,000
On completion of 4th phase	Payment not yet made	17,000,000

On June 1, 2021, the Karachi Development Authority issued instructions for stoppage of work on account of certain discrepancies in the completion plan. The company filed a petition in the Sindh High Court and the matter was decided in the company's favor on July 31, 2021. Work recommenced after a delay of 61 days.

The following periods may be relevant:

Period	Days
March 1 to December 31	306
April 1 to December 31	275
August 1 to December 31	153
October 1 to December 31	92

Required:

Calculate amount of borrowing Cost capitalized during the period in the following independent cases as;

- (a) Assuming that the loans were taken specifically for the project, calculate the amount of borrowing costs that should be capitalised in the period ending December 31, 2021 in accordance with the requirements of IAS 23 Borrowing Costs.
- (b) Assuming that the loans constituted general finance, calculate the amount of borrowing costs that should be capitalised in the period ending December 31, 2021 in accordance with the requirements of IAS 23 Borrowing Costs.

(Borrowing cost calculations should be based on number of days)

(15)

Question # 08:

Bonga Limited (BL) started the construction of a building, a qualifying asset, on 1 Jan 2021. The asset was financed through a bank loan of Rs.1,000,000 taken on 1 March 2021 at the rate of 15% p.a. payable in 10 semiannual installments starting from 1 March 2023. Following payments were made to the contractor for the construction project:

Date		Rupees
1 January 2021		Rs.300,000
1 April 2021		Rs.500,000
1 October 2021		Rs.600,000
1 March 2022		Rs.600,000
1 June 2022		Rs.400,000
1 October 2022		Rs.300,000

The company also availed bank overdraft facilities as follows:

Particular	Bank A	Bank B
Facility available from	1 July 2021	1 Jan 2021
Facility Limit	Rs.5 million	Rs.3 million
Outstanding balance 2021	Rs.1.9 million	-
Outstanding balance 2022	Rs.1.5 million	Rs.2.3 million
Average balance 2021	Rs.800,000	-
Average balance 2022	Rs.900,000	Rs.1,200,000
Interest Rate	8%	12%

- The construction of the asset was stopped for the month of August 2021 due to a dispute with contractor.
- BL also received Rs.500,000 from the government on 1 Jan 2022 as a grant for the construction of the building with the condition that BL will keep in its employment, at least 100 employees at all times for the next five years. In the event of failure, the entire grant shall be repayable immediately. BL is certain that it will comply with the conditions of the grant.
- The asset was completed and available for use on 1 August 2022 for inventory, however, BL had change the plan and building was rented to Sarla Limited (SL) for a monthly rent of Rs.200,000. The move was considered effective on 1 October 2022 when the fair value of the asset was Rs.3 million. The fair value on 31 December 2022 was Rs.3.3 million.
- The company uses cost model for property, plant and equipment and fair value model for investment property.
- The building has a useful life of 20 years depreciated over straight line to a residual value of Rs.500,000.
- Surplus funds available to the company are deposited in a savings account with a return of 6%.

Required:

For BL, prepare the extracts of profit and loss statement for the year ended December 31 2022 and of statement of financial position as at that date.

(Comparative figures are also required)

(17)

Question # 09:

The following Information related to Marunda Limited (ML):

- (i) ML purchased a delivery truck costing Rs. 170 million on 1 July 2014. It is to be depreciated using the straight-line method, with a residual value of Rs. 10 million. As of 31 December 2017, it had accumulated depreciation of Rs. 35 million.

During 2019, ML decided to change the depreciation method from straight-line to the reducing balance method. There is no change in the useful life, but the estimated residual value was revised to Rs. 15 million.

- (ii) In 2017, construction of three buildings was started. One for rental purposes and other for office use, with an initial expenditure of Rs. 40 million. In 2018, an additional Rs. 50 million was spent. On 31 May 2019, Rs. 30 million was spent. The company financed this expenditure by obtaining a loan of Rs. 100 million from the bank on 1 May 2019 at an interest rate of 12% per annum. Surplus funds were invested at 7.35%. By the end of 2019, all 3 buildings were completed and final cost of building relating to rent objective was Rs. 60 million.

- (iii) ML purchased a plant for Rs. 375 million on 1 January 2018 and installed it at an additional cost of Rs. 59 million. The plant has an estimated useful life of 7 years with no residual value.

On 30.06.19, half of Plant disposed of for Rs. 200 million.

ML follows the revaluation model for measuring plant and machinery. It accounts for revaluations based on the net replacement value method. An independent firm, "Ansari & Co", performed the revaluations, with the following details:

Revaluation Date	Fair Value (Rs. in million)
31 December 2018	360
31 December 2019	290

The auditor doubted the revalued amount presented in the financial statements as of 31 December 2019 and requested an impairment test for the plant.

- Estimated cost to sell: Rs. 10 million. The fair value is Same as the revalued amount.
- Estimated future cash flows of the plant acquired on 1 January 2018:

Year	2020	2021	2022	2023	2024
Cash Flows (Rs. in million)	88.00	82.28	73.21	65.81	56.37

Applicable discount rate: 10%.

Required:

- (a) Prepare the disclosure under the relevant IAS for Property, Plant, and Equipment (PPE) in the notes to the published financial statements for the year ended 31 December 2019.

(Comparatives are required, but the total column is not required.)

- (b) Perform the impairment test and incorporate the impairment loss (if any) in the PPE disclosure. (18)

(THE END)